

Term Sheet Review

Learn how facility agents review term sheets and make approval decisions

Overview

Term sheet review is the process where facility agents evaluate term sheets submitted by borrowers and decide whether to approve, reject, or request changes. This guide covers how facility agents review term sheets effectively, assess proposals, and make decisions that affect facility setup workflow.

Who Can Use This

- Facility Agents who review term sheets submitted by borrowers

When This Is Used

Use term sheet review when:

- Borrowers submit term sheets for your review
- You need to evaluate facility proposals
- You want to approve or reject term sheets
- You need to ensure compliance with requirements
- You want to request modifications to improve proposals

Review Process

Accessing Term Sheets - When borrowers submit term sheets, they appear in your review queue. Check notifications for new term sheet submissions, navigate to term sheets for review, and open term sheet details to review all information provided.

Review Interface - The term sheet review interface provides a comprehensive view of all term sheet information, including facility terms, borrower details, and supporting documentation. You can review the complete proposal to evaluate all aspects.

FACILITY OPERATIONS

Overview

Pending Term Sheets:

Inbox Active Facilities

Inbox data table

Type	Status	Actions
Term Sheet	Pending	View, Edit, Delete
Master Commit	Completed	View, Edit, Delete
Fund Request	Pending	View, Edit, Delete
Term Sheet	Pending	View, Edit, Delete
Master Commit	Completed	View, Edit, Delete
Fund Request	Pending	View, Edit, Delete
Term Sheet	Pending	View, Edit, Delete
Master Commit	Completed	View, Edit, Delete
Fund Request	Pending	View, Edit, Delete

Review Term Sheet

Term Sheet ID* TS0001

Borrower Entity* ABC Corporation

Requested Commitment Amount* \$10,000,000

Advance Rate* 24%

Pricing Index* Fixed

Margin* 350 bps

Maturity Date* 06/28/2035

Fixed Rate 36%

Covenant Template* Standard

Draw Frequency* Monthly

Upload Collateral Profile* Collateral Profile.JSON

Assign Facility Agent* Agent XYZ

Supporting Documents

Upload Financial statements*	Upload KYC Documents*	Upload Collateral Data*
Upload	Uploaded	Uploaded
Financial_statements_2025.pdf File uploaded by Borrower	KYC_documents_2025.pdf File uploaded by Borrower	Collateral_Data_2025.xlsx File uploaded by Borrower

Alerts: 1 Breach

Review Term Sheet - FA

Reviewing Term Sheet Information - Review complete term sheet information including facility amount, interest rates, repayment terms, facility term, purpose, borrower information, supporting documentation, and all facility terms and conditions.

Evaluating Facility Terms - Assess if facility amount is appropriate and reasonable, evaluate interest rate or rate structure, review how repayments are structured, check duration and maturity, understand what funds will be used for, and review all facility terms and conditions.

Assessing Facility Structure - Evaluate overall facility structure, review facility type and characteristics, assess facility complexity, check if structure is appropriate, and evaluate feasibility.

Assessing Borrower Creditworthiness - Review borrower financial information, evaluate credit history and standing, assess borrower capacity, check borrower qualifications, and review borrower track record.

Reviewing Documentation - Check financial statements completeness, verify required documents are included, review supporting materials quality, assess documentation accuracy, and ensure documentation meets requirements.

Assessing Compliance - Verify terms meet facility requirements, check borrower qualifications, ensure documentation is complete, confirm compliance with policies, and review regulatory compliance.

Evaluation Criteria

Facility Terms Assessment - Evaluate if facility amount is appropriate, assess interest rate structure, review repayment terms, check facility term and maturity, understand purpose and use of funds, and verify all terms are reasonable.

Facility Structure Evaluation - Assess overall facility structure, evaluate facility type and characteristics, review facility complexity, check if structure is appropriate, and determine feasibility.

Borrower Creditworthiness - Review borrower financial information, evaluate credit history and standing, assess borrower capacity and qualifications, check borrower track record, and determine creditworthiness.

Documentation Quality - Check financial statements completeness, verify required documents are included, review supporting materials quality, assess documentation accuracy, and ensure documentation meets requirements.

Compliance Verification - Verify terms meet facility requirements, check borrower qualifications, ensure documentation is complete, confirm compliance with policies, and review regulatory compliance.

Overall Proposal Quality - Assess proposal soundness, evaluate feasibility, check if proposal meets requirements, determine if proposal is acceptable, and make overall assessment.

Making Decisions

Approve Term Sheet - Approve when all requirements are met: proposal is sound and feasible, terms are appropriate, borrower is creditworthy, documentation is complete, and compliance is verified. When approved, master commitment is automatically created, status changes to Accepted, and borrower receives notification.

Reject Term Sheet - Reject when requirements are not met: proposal doesn't meet requirements, terms are inappropriate, borrower creditworthiness concerns, incomplete documentation, or compliance issues. Provide detailed rejection reason, enter comments explaining rejection, status changes to Rejected, borrower can create new term sheet, and borrower receives notification.

Request Changes - Request changes when improvements are needed: minor issues that can be addressed, additional documentation needed, clarifications required, or modifications needed to make proposal acceptable. Provide detailed change request, enter specific modifications needed, status changes to CHANGES_REQUESTED, borrower can update and resubmit, and borrower receives notification.

Decision Documentation - Enter approval comments if approving, provide detailed rejection reason if rejecting, specify change request details if requesting changes, include any relevant comments or explanations, and ensure all decisions are properly documented.

Rules & Validations

- You can approve, reject, or request changes. Three options allow you to handle different situations appropriately.
- Approved term sheets automatically create master commitments. You don't need to create master commitments manually.

- Rejected term sheets cannot be resubmitted. Borrowers must create new term sheets if rejected.
- Change requests allow borrowers to update and resubmit. This enables iterative improvement without starting over.
- Your decision affects facility setup workflow. Approval moves to master commitment configuration, rejection stops the process, change requests allow refinement.
- Decisions are final once submitted. You cannot easily reverse decisions after submission.
- Complete audit trail. All decisions, reasons, and comments are recorded with timestamps.
- Borrower notifications. Borrowers receive notifications when you make decisions.
- Status updates reflect decisions. Term sheet status changes based on your decision.
- Review thoroughly before deciding. Take time to evaluate all aspects before making decisions.

What Happens Next

After reviewing a term sheet:

- **If Approved:** Master commitment is automatically created with Draft status, you configure the facility structure, you submit master commitment for lender approval, facility becomes active when lenders approve, and borrowers can create funding requests.
- **If Rejected:** Borrower receives rejection reason, borrower can create a new term sheet addressing issues, new term sheet goes through same review process, and process can start over with improvements.
- **If Changes Requested:** Borrower receives change request details, borrower updates term sheet with requested changes, borrower resubmits for your review, you review again and make new decision, and process can repeat until approved or rejected.

After approval:

- Master commitment is automatically created with Draft status
- You configure facility rules, borrowing base, and lender groups
- You submit master commitment for lender approval
- Lenders review and approve the facility
- Facility becomes active, and borrowers can create funding requests

Understanding term sheet review helps facility agents effectively evaluate proposals, ensure facility requirements are met, make informed decisions, and move facilities through the setup workflow to active status.